



Reading a 10-K: What an Auditor Looks For

A guide to the annual report public companies file with the SEC

What is a 10-K?

- An annual report that U.S. public companies must file with the Securities and Exchange Commission.
- It contains audited financial statements plus management's discussion of the business and its risks.
- Anyone can read one for free on the SEC's EDGAR database.

Sections worth reading first

- Item 1A, Risk Factors: what management says could hurt the business.
- Item 7, MD&A: management's explanation of results, trends, and liquidity.
- Item 8, Financial Statements: the audited numbers and the notes behind them.
- Item 9A, Controls and Procedures: management's assessment of internal controls.

The auditor's report

- States whether the statements are presented fairly in accordance with GAAP.
- Critical audit matters (CAMs) point to areas that required especially difficult auditor judgment.
- A going-concern paragraph signals doubt about the company surviving the next year.

Tip: read the CAMs early. They show where the auditor saw the most risk.

Questions an auditor asks

- Do revenue and cash flow from operations move together over time?
- Did accounting policies or estimates change this year, and why?
- Are there large related-party transactions or unusual items in the notes?
- Did the company change auditors recently?

Takeaway

- The notes to the financial statements often matter as much as the statements themselves.
- Reading 10-Ks regularly builds the habit of professional skepticism.